

of the platform to the machines executing the requested operations. To put it another way, ether is the incentive ensuring that developers write quality applications (wasteful code costs more), and that the network remains healthy (people are compensated for their contributed resources).¹²

Miners of Ethereum would be processing transactions that could transfer not just ether but also information among programs. Just as Bitcoin miners were compensated for supporting the network by earning bitcoin, so too would Ethereum miners by earning ether, and the process would be supported by a similar proof-of-work consensus mechanism.

GETTING ETHEREUM OFF THE GROUND

Buterin understood that building a system from the ground up required a significant amount of work, and his announcement in January 2014 involved the collaboration of a community of more than 15 developers and dozens of community members that had already bought into the idea. Satoshi's announcement of Bitcoin, in contrast, had involved a quiet mailing of the white paper to a relatively unknown mailing list composed mainly of academics and hardcore cryptographers. The ensuing development of the Bitcoin software before launch mostly involved just two people, Satoshi and Hal Finney.¹³

Buterin also knew that while Ethereum could run on ether, the people who designed it couldn't, and Ethereum was still over a year away from being ready for release. So he found funding through the prestigious Thiel Fellowship. Billionaire Peter Thiel, who cofounded PayPal and was Facebook's first